Company Registration No. 06133975 (England and Wales)

LUTON TOWN FOOTBALL CLUB 2020 LTD

REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED
30 JUNE 2022

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LUTON TOWN FOOTBALL CLUB 2020 LTD

COMPANY INFORMATION

Directors	G Sweet D Wilkinson P Ballantyne M Herrick R Curson S Browne R Stringer T Schofield
Secretary	D Wilkinson
Company number	06133975
Registered office	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW
Auditor	RSM UK Audit LLP Chartered Accountants The Pinnacle 170 Midsummer Boulevard Milton Keynes Buckinghamshire MK9 1BP
Business address	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW

LUTON TOWN FOOTBALL CLUB 2020 LTD

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present the strategic report for the year ended 30 June 2022.

Fair review of the business

The 2021/22 season saw the welcome return of fans to Kenilworth Road and the club benefitted enormously from their support, achieving its highest finishing position since the 1991/92 season, when it last competed in the top flight of English football. Securing sixth place and play-off qualification on the final day of the season with a victory at home against Reading, the gruelling season ultimately caught up with the squad, as injuries to key players contributed to defeat in the play-off semi-finals against Huddersfield Town, over two closely contested matches.

The squad went through a major transition with the likes of James Collins, Matty Pearson, George Moncur and Ryan Tunnicliffe all moving on. The club had kicked off an early recruitment drive, signing Fred Onyedinma, Allan Campbell and Carlos Mendes Gomes before the end of June 2021 (2020/21 accounts). Cameron Jerome, Reece Burke, Henri Lansbury, Admiral Muskwe and Amari'i Bell all joined later in the summer, all on permanent contracts, with Robert Snodgrass arriving as a free agent later in the season. Due to injury the club loaned a number of goalkeepers during the season, with Jed Steer arriving from Aston Villa before succumbing to a serious injury himself, followed by Alex Palmer from West Bromwich Albion and Matt Ingram from Hull City as the season drew to a close.

The team made another strong start to the season with two wins from their first three matches but a run of six games without a victory left them 16th in the table. However a five nil home win against Coventry City would prove to be a turning point, as the club rose to 10th position by the end of January. February saw the team hit some of its best form all season, winning five out of six in the month, before losing to Chelsea in the 5th round of the FA Cup at the start of March, the second season running that the same opposition had knocked them out of the competition.

In mid-March another emphatic home win, this time four nil against Preston North End, would see the team climb into the play-off places, where they would stay until the end of the season, securing a semi-final spot with a one nil home win against Reading on the final day. The team's efforts would eventually take their toll though, as a number of key players would be unfit for the crucial play-off games against Huddersfield Town. The first of these semi-finals was held at Kenilworth Road, with a tight game finishing one all and setting up a tense second leg. Ultimately though, it would end in heartbreak for Luton, with Huddersfield scoring the winner in the 82nd minute in the return fixture at the John Smith's stadium.

Keen to build on the exploits of the 2021/22 season, the club began its recruitment for 2022/23 early once again, with the arrivals of Alfie Doughty from Stoke City, Cauley Woodrow from Barnsley and Matt Macey from Hibernian, all before the end of June.

At the time of presenting these financial statements, the first team is once again occupying a solid mid-table position and the Academy remains on track to achieve EPPP Category 2 status in the near future.

Financial overview

With government restrictions finally lifted and fans returning to Kenilworth Road, all categories of matchday revenue including tickets, hospitality and catering saw a strong recovery. Overall matchday related revenue which had dropped from £4.1m to £1.1m in the prior year, increased to £4.9m thanks in no small part to the FA Cup tie against Chelsea and the Championship play-off semi-final first leg.

Central distributions (including broadcasting and media income) increased compared to the prior year, from £9.6m to £10.5m. This increase was driven by the team's superb performances on the pitch, leading to extensive media coverage and a larger than expected number of televised matches.

Other operating income was abnormally high in 2021 due to the settlement of the club's business interruption insurance claim following the pandemic. Normal revenue streams returned in 2022, but cost of sales also rose dramatically, largely due to labour costs. Average monthly employees increased sharply from 220 to 365 as the need for casual matchday workers returned. Aggregate staff remuneration increased from £14.1m to £17.8m, principally driven by the return of the matchday workforce and the team's improved performance translating into higher bonus payments. For this reason, the loss excluding other operating income and player trading profit was similar in 2021/22 (£7.5m) to 2020/21 (£7.1m).

The lingering economic effects of the pandemic led to a depressed transfer market and player trading profits were significantly down on recent seasons. As a result the club's operating loss increased from £1.9m to £6.4m.

A summary of provided below:

	2022 £'000	2021 £'000
Turnover	17,658	12,660
Operating Costs	(25,136)	(19,717)
Other Operating income	23	2,912
Loss before player trading	(7,455)	(4,144)
Player trading	1,075	2,200
Operating (loss)/profit	(6,380)	(1,944)

Key performance indicators
The company considers there to be a number of financial and non-financial key performance indicators ("KPI's") which are used in assessing the success of the company:

	2022	2021
Turnover	17,658	12,660
Loss before player trading	(7,455)	(4,144)
EBITDA	(4,468)	(404)
All-staff wages to turnover ratio	101%	111%
Net book value of intangible assets	3,532	2,844
Average football league attendance	9,857	N/A
Academy players registered in first team squad	9	6

Continued investment in the first team has increased the value of intangible fixed assets from £2.8m to £3.5m, whilst the return of match day revenue has reduced the wages to turnover ratio considerably.

Principal risks and uncertainties
The football club continues to make comparatively small financial losses. Its existing investors have confirmed their commitment to continue to fund the Club for the foreseeable future.

Financial risk management objectives and policies

League status risk
Due to the current distribution model of the football league, a principal risk for the football club is the performance of the first team in relation to league status. The group manages the impact of this through control of player wages (relegation clauses) and situational planning dependent upon league status.

Credit risk
Financial instruments that potentially subject the club to credit risk consist primarily of cash equivalents and accounts receivable. These instruments contain a risk of counterparties failing to discharge their obligations. The club monitors credit risk and manages credit risk exposure by assessing the creditworthiness of counterparties. Due to the diversity of the debtor portfolio, the club does not assess this to pose a significant risk to the club at present.

Liquidity risk
Our liquidity needs are affected by our performance on the pitch which impacts revenues and wage costs. Budgets and cash flows are prepared annually and forecasts are updated on a monthly basis so funding requirements are planned and approved well in advance.

Operational risk
The club operates a cashless stadium and has introduced access control systems for staff and fans. This has greatly reduced operational risk associated with cash payments and unauthorised entry.

Future developments
The strategy for the football club remains to continue to strengthen the squad at a sustainable pace with the aim of consolidating the club's position towards the top of the football pyramid.

In order to fulfil the Board's aspiration to operate a truly sustainable business model, the move to a new stadium remains imperative. The planned stadium at Power Court, in Luton town centre, will significantly increase capacity and corresponding revenue.

Despite tremendous economic headwinds the project to deliver the new stadium is still progressing, with detailed design now complete. A significant portion of the required funding was also secured as a result of the sale of land at Newlands Park during the financial year which was recorded within the financial statements of 2020 Developments (Luton) Limited, a fellow group undertaking.

On behalf of the board

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G Sweet
Director

Date: 27/02/23

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present their annual report and financial statements for the year ended 30 June 2022.

Principal activities
The principal activity of the company continues to be that of a professional football club.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

G Sweet
D Wilkinson
P Ballantyne
M Herrick
R Curson
S Browne
R Stringer
T Schofield

Results and dividends
The results for the year are set out on page 10.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Qualifying third party indemnity provisions
The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Research and development
A crucial aspect of the company's operations includes a specialist sports science and sports medicine team. Having decades of technical experience in the field among its highly qualified sports science and sports medicine workforce, the company researches and develops an extensive range of state of the art and innovative solutions towards injury rehabilitation, physiological performance and injury prevention. The technical team have undergone continuous training and development in order to culture new innovation within their practices. This has facilitated the prognosis and successful treatment in highly complex and high profile cases.

Disabled persons
Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Employee engagement

The company holds weekly management meetings, either in person or virtually, attended by departmental managers in order to ensure that information can then be disseminated downwards to each department and employee.

The company actively encourages employees in any efforts to further their development via flexible working hours and the funding of external training where applicable.

In 2014 Luton Town Football Club became the first English professional football club to become a fully accredited Living Wage employer, paying the 'Real Living Wage'. The commitment to pay all employees a 'Real Living Wage' has been maintained throughout the year, despite the uncertainty which has faced the industry.

Administrative employees are provided the required office equipment in order to ensure that working from home is both a realistic and safe option.

The company offers a range of support to promote the health and mental wellbeing of staff. The Employee Assistance Programme (EAP), which is confidential and managed independently by Health Assured, is available to all staff and immediate family members. Annual health assessments are also undertaken for key workers and senior executives.

The company continues to be an equal opportunities employer which is designed to ensure that all applicants and employees receive the same treatment. Through the implementation of these principles, the company has a staff that reflects the diversity of the town and wider region.

Upwards feedback from employees to managers is encouraged to drive improvement and employee engagement. Employees are frequently involved in decision making through discussions with their managers.

Auditor

RSM UK Audit LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting.

Strategic report

The company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the directors' report. It has done so in respect of financial risk management objectives and policies and future developments.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

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G Sweet
Director

Date: 27/02/23

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 30 JUNE 2022

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the company website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD

Opinion

We have audited the financial statements of Luton Town Football Club 2020 Ltd (the 'company') for the year ended 30 June 2022 which comprise the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement set out on page 6, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the company operates in and how the company is complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102, the Companies Act 2006, and tax compliance regulations. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures and evaluating tax calculations.

The most significant laws and regulations that have an indirect impact on the financial statements are those in relation to English Football League (EFL) regulations. We performed audit procedures to inquire of management whether the company is in compliance with these laws and regulations and inspected correspondence with the EFL.

The audit engagement team identified the risk of management override of controls as the area where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

David Olsson

David Olsson (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
The Pinnacle
170 Midsummer Boulevard
Milton Keynes
Buckinghamshire, MK9 1BP

28/02/23

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2022

	Notes	2022 £	2021 £
Turnover	3	17,658,476	12,660,066
Cost of sales		(18,942,212)	(13,938,600)
Gross loss		(1,283,736)	(1,278,534)
Administrative expenses		(6,194,075)	(5,778,014)
Other operating income	3	22,985	2,912,156
Profit on player trading and other related income		1,074,597	2,200,063
Loss before taxation		(6,380,229)	(1,944,329)
Taxation	8	-	-
Loss for the financial year		(6,380,229)	(1,944,329)

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2022

	Notes	2022 £	2022 £	2021 £	2021 £
Fixed assets					
Intangible assets	10		3,532,383		2,843,546
Tangible assets	11		455,359		601,312
			3,987,742		3,444,858
Current assets					
Stocks	12	78,751		30,841	
Debtors falling due after more than one year	13	250,124		-	
Debtors falling due within one year	13	1,928,324		8,770,041	
Cash at bank and in hand		2,233,327		1,176,417	
		4,490,526		9,977,299	
Creditors: amounts falling due within one year	14	(11,486,925)		(8,412,643)	
Net current (liabilities)/assets			(6,996,399)		1,564,656
Total assets less current liabilities			(3,008,657)		5,009,514
Creditors: amounts falling due after more than one year	15		(2,421,168)		(3,991,379)
Net (liabilities)/assets excluding pension liability			(5,429,825)		1,018,135
Defined benefit pension liability	18		(276,360)		(344,091)
Net (liabilities)/assets			(5,706,185)		674,044
Capital and reserves					
Called up share capital	19		18,145,003		18,145,003
Profit and loss reserves	20		(23,851,188)		(17,470,959)
Total equity			(5,706,185)		674,044

The financial statements were approved by the board of directors and authorised for issue on 27/02/23 and are signed on its behalf by:

G Sweet
Director

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2022

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2020	18,145,003	(15,526,630)	2,618,373
Year ended 30 June 2021:			
Loss and total comprehensive income for the year	-	(1,944,329)	(1,944,329)
Balance at 30 June 2021	18,145,003	(17,470,959)	674,044
Year ended 30 June 2022:			
Loss and total comprehensive income for the year	-	(6,380,229)	(6,380,229)
Balance at 30 June 2022	18,145,003	(23,851,188)	(5,706,185)

1 Accounting policies

Company information

Luton Town Football Club 2020 Ltd is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

The company's principal activities and nature of its operations are disclosed in the Strategic and Directors' Reports.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £1.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows' – Presentation of a statement of cash flows and related notes and disclosures;
- Section 11 'Basic Financial Instruments' – Interest income/expense and net gains/losses for each category of financial instrument;
- Section 33 'Related Party Disclosures' – Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of 2020 Holdings (England) Limited. These consolidated financial statements are available from its registered office, Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

Going Concern

The 2021/22 season saw the end of government restrictions relating to the pandemic and the return of fans to Kenilworth Road. However, lingering economic uncertainty led to a depressed transfer market and player trading profits were significantly down, resulting in an increased loss compared to previous seasons.

The directors have produced detailed financial forecasts to the end of the 2023/24 season. The proceeds of the sale of Newlands Park by 2020 Developments (Luton) Ltd, coupled with the on-going support from shareholders and directors, will provide sufficient working capital to meet the Club's needs during the forecast period. As such, the directors have concluded that it is appropriate to continue to adopt the going concern basis in preparing these financial statements.

The financial statements do not include any adjustments that would result if the company is unable to continue as a going concern.

1 **Accounting policies (Continued)**

Turnover
Turnover includes all revenue from football and related commercial activities exclusive of VAT.

Gate receipts and other match day revenues are recognised as the games are played.

Revenue from season ticket sales is credited to income over the period to which it relates.

Sponsorship, advertising and other similar commercial income is recognised over the duration of the contracts to which it relates.

Player trading income
Player trading income is recognised on completion of contracts. Contingent trading income is recognised when the contractual milestones are achieved. The profit arising on player trading activity, being transfer income less associated fees paid and football league levies, is reported separately in the statement of comprehensive income after gross profit.

Other operating income
Donations are recognised upon receipt.

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received. A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

Intangible assets - player registrations
When acquired, the costs of obtaining players' registrations are capitalised and amortised evenly over the period of the associated player's contract. The amortisation period therefore varies by player depending on their contract. Provision is made where, in the opinion of directors, an impairment of the carrying value of the players' registrations has occurred. Potential future registration fees, contingent on certain conditions agreed in the registration contracts with the selling company, are disclosed as contingent liabilities (see note 22).

Profits or losses on the disposal of these registrations represents the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

Tangible fixed assets
Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Fixtures, fittings and equipment	20% straight line
Motor vehicles	20% straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Stocks
Finished goods are valued at the lower of cost and net realisable value.

1 **Accounting policies (Continued)**

Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument.

Basic financial assets

Basic financial assets, which include accrued income, trade and other debtors and amounts owed by group undertakings, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost, being transaction price less any amounts settled and impairment losses.

Impairment of financial assets

Financial assets are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors, amounts owed to group undertakings and accruals payable within one year that do not constitute a financing transaction are initially measured at the transaction price and subsequently measured at amortised cost, being transaction price less any amounts settled.

Where the arrangement with a creditor constitutes a financing transaction, the creditor is initially measured at the present value of future payments discounted at a market rate of interest for a similar instrument and subsequently measured at amortised cost, being transaction price less any amounts settled and the cumulative amortisation (using the effective interest method) of any difference between the amount at initial recognition and the maturity amount.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the company's contractual obligations are discharged, cancelled, or they expire.

Equity instruments

Equity instruments issued by the company are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1 **Accounting policies (Continued)**

Taxation

Current tax is based on taxable profit for the period. Current tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled based on tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax liabilities are recognised in respect of all timing differences that exist at the reporting date. Timing differences are differences between taxable profits and total comprehensive income that arise from the inclusion of income and expenses in tax assessments in different periods from their recognition in the financial statements. Deferred tax assets are recognised only to the extent that it is probable that they will be recovered by the reversal of deferred tax liabilities or other future taxable profits.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Retirement benefits

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit or loss in the year they are payable.

The company contributes to the Football League Limited Pension and Life Assurance Scheme for certain former employees, the assets of which are held separately from those of the company in independently administered funds. The company is not able to identify its share of the assets and liabilities of the scheme but makes provision for the expected future cost of funding its obligations to fund benefits accrued at the reporting date, as advised by the Trustees (see note 18).

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Research and development expenditure

Research and development expenditure is written off against profits in the period in which it is incurred.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Present value of pension obligation

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a payment schedule. Determining the present value of the clubs share of the pension obligations requires significant assumptions determined by the schemes actuaries and therefore represents a key source of uncertainty (see note 18).

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2022	2021
	£	£
Turnover analysed by class of business		
Matchday	4,879,966	1,112,984
League distributions	10,460,618	9,629,235
Commercial	2,317,892	1,917,847
	17,658,476	12,660,066

	2022	2021
	£	£
Turnover analysed by geographical market		
United Kingdom	17,658,476	12,660,066

	2022	2021
	£	£
Other operating income		
Grants received	10,020	579,792
Other income	12,965	2,332,364
	22,985	2,912,156

3 Turnover and other revenue (Continued)

During the year, the company received government grants of £10,020 (2021: £579,792) under the UK Government Job Retention Scheme.

Included in other income is £nil (2021: £2,325,829) in respect of insurance reclaim income, and £12,965 (2021: £6,535) in respect of donations.

4 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2022 Number	2021 Number as restated
Football operations	110	95
Administration	78	50
Matchday	177	75
Total	365	220

The comparative figures have been restated to disclose the average number of persons employed under new categories on the basis that the directors believe these categories more accurately represent the operations of the Club.

In addition, the directors have recalculated and amended the total average number of persons employed disclosed in the prior year. In the prior year, the Club disclosed an average number totalling 178 staff split as follows: staff - 123, stewards - 29 and match day - 26.

Their aggregate remuneration comprised:

	2022 £	2021 £
Wages and salaries	15,603,903	12,493,142
Social security costs	2,078,383	1,539,701
Pension costs	142,439	76,287
	17,824,725	14,109,130

5 Directors' remuneration

	2022 £	2021 £
Remuneration for qualifying services	789,080	757,908
Company pension contributions to defined contribution schemes	41,619	10,149
	830,699	768,057

5 Directors' remuneration (Continued)

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 2 (2021 - 2).

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2022	2021
	£	£
Remuneration for qualifying services	665,096	662,414
Company pension contributions to defined contribution schemes	35,349	7,378

6 Operating loss

Operating loss for the year is stated after charging:	2022 £	2021 £
Depreciation of owned tangible fixed assets	211,022	196,486
Depreciation of tangible fixed assets held under finance leases	14,964	17,145
Amortisation of intangible assets	1,685,636	1,326,728
Operating lease charges	333,546	319,123

7 Auditor's remuneration

Fees payable to the company's auditor and its associates:	2022 £	2021 £
For audit services		
Audit of the financial statements of the company	25,875	22,500

8 Taxation

	2022	2021
	£	£
UK corporation tax on profits for the current period	-	-

The total tax charge for the year included in the statement of comprehensive income can be reconciled to the loss before tax multiplied by the standard rate of tax as follows:

	2022	2021
	£	£
Loss before taxation	(6,380,229)	(1,944,329)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00% (2021: 19.00%)	(1,212,244)	(369,423)
Tax effect of expenses that are not deductible in determining taxable profit	5,272	3,253
Depreciation on assets not qualifying for tax allowances	-	7,015
Other	(94,116)	70,454
Tax losses arising in the period for which no deferred tax asset has been recognised	1,301,088	288,701
Taxation charge for the year	-	-

Deferred tax has not been recognised in respect of losses of £26,943,530 (2021: £20,048,420) because it is not considered probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

In the Spring Budget 2021, the Government announced measures to support economic recovery as a result of the ongoing COVID-19 pandemic. These included an increase to the UK's main corporation tax rate to 25%, which is due to be effected from 1 April 2023.

9 Player trading

The total sums payable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £407,067 (2021: £893,954) at the reporting date and is included in trade creditors.

The total sums receivable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £777,139 (2021: £4,243,059) at the reporting date and is included in trade debtors.

10 Intangible fixed assets

	Player registrations
	£
Cost	
At 1 July 2021	4,875,986
Additions	2,827,503
Disposals	(2,203,979)
At 30 June 2022	5,499,510
Amortisation	
At 1 July 2021	2,032,440
Amortisation charged for the year	1,685,636
Disposals	(1,750,949)
At 30 June 2022	1,967,127
Carrying amount	
At 30 June 2022	3,532,383
At 30 June 2021	2,843,546

The amortisation charge for the year is recognised within administrative expenses.

11 Tangible fixed assets

	Fixtures, fittings and equipment	Motor vehicles	Total
	£	£	£
Cost			
At 1 July 2021	1,584,978	136,848	1,721,826
Additions	80,033	-	80,033
At 30 June 2022	1,665,011	136,848	1,801,859
Depreciation			
At 1 July 2021	1,027,771	92,743	1,120,514
Depreciation charged in the year	206,753	19,233	225,986
At 30 June 2022	1,234,524	111,976	1,346,500
Carrying amount			
At 30 June 2022	430,487	24,872	455,359
At 30 June 2021	557,207	44,105	601,312

11 Tangible fixed assets (Continued)

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases:

	2022	2021
	£	£
Motor vehicles	18,000	32,964

12 Stocks

	2022	2021
	£	£
Finished goods and goods for resale	78,751	30,841

During the year, stock with a carrying value of £5,019 (2021: £62,150) was written off. The write off was recognised within cost of sales.

The difference between the carrying value of stock and its replacement cost is not material.

13 Debtors

	2022	2021
Amounts falling due within one year:	£	£
Trade debtors	988,834	4,633,773
Amounts owed by group undertakings	-	3,484,391
Other debtors	42,712	102,817
Prepayments and accrued income	896,778	549,060
	1,928,324	8,770,041

	2022	2021
Amounts falling due after more than one year:	£	£
Trade debtors	250,124	-
Total debtors	2,178,448	8,770,041

Amounts owed by group undertakings at the comparative reporting date were unsecured, interest free and had no fixed date of repayment. These amounts were repayable on demand.

14 Creditors: amounts falling due within one year

	Notes	2022 £	2021 £
Obligations under finance leases	17	12,931	11,802
Other borrowings	16	2,238,175	1,982,728
Trade creditors		737,764	1,344,667
Amounts owed to group undertakings		1,768,537	-
Taxation and social security		924,437	533,921
Other creditors		18,141	40,868
Accruals and deferred income		5,786,940	4,498,657
		11,486,925	8,412,643

Amounts owed to group undertakings are unsecured, interest free and have no fixed date of repayment. These amounts are repayable on demand.

15 Creditors: amounts falling due after more than one year

	Notes	2022 £	2021 £
Obligations under finance leases	17	12,793	25,723
Other borrowings	16	2,238,375	3,965,656
Trade creditors		170,000	-
		2,421,168	3,991,379

16 Borrowings

	2022 £	2021 £
Other loans	4,476,550	5,948,384
Payable within one year	2,238,175	1,982,728
Payable after one year	2,238,375	3,965,656

During the year to 30 June 2020, the company received a loan from the English Football League ('EFL') of £584,000 to support the operation of the club during the COVID-19 pandemic. Repayments were originally due to be made in 6 equal bi-annual instalments and deducted from future EFL income. During the prior year, the EFL announced that repayments would be deferred as a result of the continuation of the COVID-19 pandemic with the first repayment made in October 2021. At the year end, £194,600 (2021: £194,600) was payable within one year and £194,800 (2021: £389,400) was payable after one year. Amounts are included in other borrowings. No interest is charged on this loan.

During the prior year, the company received a loan from the English Football League ('EFL') of £5,364,384 to support the operation of the club during the COVID-19 pandemic. An additional drawdown of this loan was taken in July 2021, increasing the full value of the loan to £6,130,724. Repayments are being made in 6 equal instalments and are deducted from Premier League Solidarity income. At the year end, £2,043,575 (2021: £1,788,128) was payable within one year and £2,043,575 (2021: £3,576,256) was payable after one year. Amounts are included in other creditors. No interest is charged on this loan.

17 Finance lease obligations

Future minimum lease payments due under finance leases:	2022 £	2021 £
Less than one year	12,931	11,802
Between one and five years	12,793	25,723
	25,724	37,525

Finance lease terms represent rentals payable by the group for certain motor vehicles. The average lease term is 5 years. The liability is secured on the related assets.

18 Retirement benefit schemes

Defined contribution schemes	2022 £	2021 £
Charge to profit or loss in respect of defined contribution schemes	142,439	76,287

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund. Contributions totalling £nil (2021: £12,954) were payable to the fund at the reporting date and are included in other creditors.

Defined benefit schemes

Luton Town Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2020 where the total deficit on the on-going valuation basis was £27.553 million. The key assumptions used to calculate the deficit at the 31 August 2020 actuarial valuation are:

Valuation

Discount Rate:	Gilt Yield Curve + 2.0% per annum
RPI inflation:	Bank of England Inflation Curve
Pension Increases:	Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS (Series 3) with CMI_2019 projections, a long-term improvement rate of 1.5% p.a. and an initial additional parameter of 0.5% p.a.

18 Retirement benefit schemes (Continued)

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

The results of the 2020 valuation were rolled forward to 30 June 2022 on the same assumptions as detailed above, and the Club's notional share of the deficit was £256,703 (£299,518 as at 30 June 2021).

As at 30 June 2022, the Club was paying total contributions of £4,354 per month (increasing by 5% p.a. on 1 September each year thereafter) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 30 June 2027.

As at 30 June 2022, based on an appropriate discount rate of 3.35% per annum (0.78% per annum as at 30 June 2021), the present value of the Club's outstanding contributions (i.e. their future liability) is £276,360 (£344,091 as at 30 June 2021). This amounts to £54,421 (30 June 2021: £51,852) due within one year and £221,939 (30 June 2021: £292,239) due after more than one year and is included within provisions.

	2022 £	2021 £
Present value of defined benefit obligations	276,360	344,091
Deficit in scheme	276,360	344,091

Movements in the present value of defined benefit obligations	2022 £
Liabilities at 1 July 2021	344,091
Deficit contributions	(51,852)
Net interest charge	2,480
Remeasurement	(18,359)
Liabilities at 30 June 2022	276,360

The defined benefit obligations arise from plans which are wholly or partly funded.

Income and Expenditure Impact

	2022 £	2021 £
Net interest charge (Unwinding of discount rate)	2,480	2,096
Remeasurement (changes in assumptions)	(18,359)	(555)
Remeasurement (changes to contribution schedule)	-	67,757

Assumptions

	2022	2021
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	3.35%	0.78%

18 Retirement benefit schemes (Continued)

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2020), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

19 Share capital

	2022	2021	2022	2021
Ordinary share capital	**Number**	**Number**	**£**	**£**
Issued and fully paid				
Ordinary shares of £1 each	18,145,003	18,145,003	18,145,003	18,145,003

The shares have attached to them full voting, dividend and capital distribution (including on winding up) rights.

20 Reserves

Profit and loss reserves
Cumulative profit and loss and capital contributions net of distributions to owners.

21 Operating lease commitments

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2022	2021
	£	£
Within one year	169,134	179,739
Between one and five years	448,817	488,396
In over five years	69,300	157,500
	687,251	825,635

22 Contingent assets and liabilities

Player registration fees

Excluding items already provided in the Statement of Financial Position, at 30 June 2022 the Company had a liability to pay up to £1,855,000 of additional transfer fees (2021: £700,000) in respect of players under contract, dependent upon a number of contingent events occurring after the year end, such as players making specific numbers of appearances and gaining international honours.

At 30 June 2022, the Company had expected contingent sums receivable of £2,726,000 (2021: £1,809,000) in respect of players sold, should certain contingent events occur. The total contingent sum receivable is based on the probable outcome of a range of fators.

23 Related party transactions

During the year the company advanced £809,137 (2021: £2,637,644) to a fellow group company and was recharged £6,062,065 (2021: £144,000) from the same fellow group company. After advances and recharges, £1,768,537 (2021: £3,484,391 was due from) was due to the fellow group undertaking at the reporting date.

24 Parent company

The immediate and ultimate parent company is 2020 Holdings (England) Limited, a private company registered in England and Wales. The smallest and largest group in which the company's accounts are consolidated is that of 2020 Holdings (England) Limited, the accounts are available from Kenilworth Stadium, 1 Maple Road, Luton, Bedfordshire, LU4 8AW.